

EXERCISE: TOTAL HEALTH LTD. (THL) – JOURNAL ENTRIES

July Transactions

Ref.	Description
1.1	On July 1, investors contributed \$10,000 in cash to start Total Health Ltd. (THL). In exchange, they received 500 common shares.
1.2	On July 15, THL purchased \$3,000 of inventory "on account", agreeing to pay the supplier within 30 days.
1.3	On July 31, Total Health Ltd. (THL) purchased equipment costing \$6,000 and paid cash. The equipment is expected to be used for 5 years and have no residual value at the end of that time.
1.4	To help finance the equipment purchase, THL borrowed \$6,000 on July 31. THL will pay back the loan after five years. In addition, THL must pay monthly interest of \$50. The first interest payment must be made on September 1, and it covers the interest relating to the month of August.

Date	Account & Explanation	Debit	Credit
July 1	Cash (+Assets)	10,000	
	Share capital (+Shareholders' equity)		10,000
	<i>Ref. 1.1: Investors contributed cash for common shares</i>		
July 15	Inventory (+Assets)	3,000	
	Accounts payable (+Liabilities)		3,000
	<i>Ref. 1.2: Purchased inventory on account</i>		
July 31	Equipment (+Assets)	6,000	
	Cash (-Assets)		6,000
	<i>Ref. 1.3: Purchased equipment for cash</i>		
July 31	Cash (+Assets)	6,000	
	Bank loan (+Liabilities)		6,000
	<i>Ref. 1.4: Borrowed money from bank for equipment</i>		

August Transactions and Adjusting Entries

Ref.	Description
2.1	On August 1, THL signed a rental agreement for a small pop-up shop in a busy mall. The agreement calls for monthly payments of \$1,000 at the start of each month. The first payment was made at the time of signing.
2.2	Rental agreement (described in 2.1 above) also required a refundable damage deposit of \$1,500. Deposit was also paid at signing.
2.3	On August 15, THL paid for all inventory purchased on July 15 (inventory originally had a cost of \$3,000, and none of it was paid at the time of purchase).
2.4	On August 20, THL paid \$1,000 for an advertisement that appeared in the local newspaper on August 25.
2.5	During the month of August, THL made retail sales of \$8,500. The cost of inventory relating to these sales was \$2,200. All sales were made by cash or credit card, with \$300 of credit card sales still outstanding on August 31.
2.6	At the end of August, THL paid \$3,000 in wages to the various part-time staff working in the store during the month of August. There were no unpaid wages at the end of August.
2.7	At the end of August, THL was able to secure a corporate order for promotional wellness products. The customer put down a \$1,000 deposit and will pay the remaining \$1,500 when products are delivered on September 10.
2.8	On August 31, THL declared and paid out \$1,000 in dividends.

Date	Account & Explanation	Debit	Credit
August 1	Prepaid rent (+Assets)	1,000	
	Cash (-Assets)		1,000
	<i>Ref. 2.1: Paid August rent for pop-up shop</i>		
August 1	Damage deposit (+Assets)	1,500	
	Cash (-Assets)		1,500
	<i>Ref. 2.2: Paid refundable damage deposit for rent</i>		
August 15	Accounts payable (-Liabilities)	3,000	
	Cash (-Assets)		3,000
	<i>Ref. 2.3: Paid supplier for July 15 inventory purchase</i>		
August 20	Prepaid advertising (+Assets)	1,000	
	Cash (-Assets)		1,000
	<i>Ref. 2.4a: Paid for local newspaper advertisement – to be published on August 25</i>		
August 25	Advertising expense (+Expenses, -Shareholders' equity)	1,000	
	Prepaid advertising (-Assets)		1,000
	<i>Ref. 2.4b: Local newspaper advertisement published</i>		
August 31	Cash (+Assets)	8,200	
	Accounts receivable (+Assets)	300	
	Sales revenue (+Revenues, +Shareholders' equity)		8,500
	<i>Ref. 2.5a: Recorded retail sales for the month</i>		
August 31	Cost of goods sold (+Expenses, -Shareholders' equity)	2,200	
	Inventory (-Assets)		2,200
	<i>Ref. 2.5b: Recorded cost of inventory sold</i>		
August 31	Wages expense (+Expenses, -Shareholders' equity)	3,000	
	Cash (-Assets)		3,000
	<i>Ref. 2.6: Paid wages to part-time staff for August</i>		
August 31	Cash (+Assets)	1,000	
	Unearned revenue (+Liabilities)		1,000
	<i>Ref. 2.7: Received customer deposit for future delivery</i>		
August 31	Retained earnings (-Shareholders' equity)	1,000	
	Cash (-Assets)		1,000
	<i>Ref. 2.8: Declared and paid cash dividends</i>		
August 31	Depreciation expense (+Expenses, -Shareholders' equity)	100	
	Accumulated depreciation – equipment (+Contra-asset, -Assets)		100
	<i>ADJ-1: To record depreciation for the month of August</i>		
August 31	Interest expense (+Expenses, -Shareholders' equity)	50	
	Interest payable (+Liabilities)		50
	<i>ADJ-2: To record interest for the month of August</i>		
August 31	Rent expense (+Expenses, -Shareholders' equity)	1,000	
	Prepaid rent (-Assets)		1,000
	<i>ADJ-3: To record rent for the month of August</i>		